

Donating Left, Polluting Right?

The Impact of Corporate Political Leanings on Environmental Performance

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Abstract

This research examines the relationship between patterns in corporate political donations and subsequent fluctuations in carbon intensity among U.S. corporations. Current literature indicates that companies strategically contribute to shaping environmental legislation; however, research has predominantly concentrated on contribution amounts rather than party affiliation, neglected temporal delays between political influence and emissions, and aggregated results across sectors. Utilising Neo-pluralist Theory and Signalling Theory, we assert that companies aligned with Democratic values will demonstrate more substantial decreases in carbon intensity than those aligned with Republican principles.

We analyse 37 firms in the oil/gas and chemical industries during three electoral cycles (2017–2023) and calculate a Corporate Political Leaning (CPL) ratio that spans from -1 (all Republican) to +1 (entirely Democratic). We employ fixed effects panel regression to examine the relationship between CPL and yearly percentage changes in carbon intensity (CO₂ emissions/revenue).

The results suggest a negative but statistically insignificant relationship between Democratic-leaning corporate political activity and year-over-year changes in carbon intensity ($\beta = -0.272$). Sector-specific effects (oil vs. chemical) did not appear substantial, while state-level differences—particularly between Texas-based firms and others—were more pronounced. Key limitations of the study include the small sample size ($N = 37$), potential measurement error in self-reported emissions data, and the absence of clear regulations around investments in renewable technologies. Future research should address these issues by expanding the sample, extending the temporal scope, and incorporating direct measures of environmental investment to better capture how government policy influences corporate environmental performance.

Keywords: corporate political donations, carbon intensity, environmental performance

Table of Contents

1	Introduction	i
2	Literature Review	i
3	Research Gap	iii
4	Methods	iii
5	Results	v
6	Discussion	vi
7	Conclusion	ix
8	References	x

1 Introduction

Corporate political activity is a critical mechanism through which firms attempt to influence regulatory environments, with politically connected firms experiencing higher stock returns and increased access to finance following election cycles (Claessens et al., 2008; Hillman et al., 2004). However, corporate political engagement in the context of environmental outcomes remains under-explored, particularly the dynamic changes in environmental performance that might reflect corporate responsiveness to political climates (Katic & Hillman, 2023).

Existing research has primarily focused on static relationships between political connections and firm outcomes, largely overlooking the dynamic relationship between political activity and environmental performance changes over time (Lawton et al., 2012). The limited studies examining this relationship have employed cross-sectional analyses that are limited in capturing firms’ dynamic adjustments to changing political landscapes, and do not explore temporal lags between political donations and environmental effects (Hillman et al., 2009). Furthermore, resource dependence theory suggests firms engage in political activity to secure favourable regulatory treatment (Pfeffer & Salancik, 1978; Hillman et al., 2009), while stakeholder theory proposes that political donations may signal broader engagement strategies including substantive environmental improvements (Freeman, 1984; Kujala et al., 2022), warranting further analysis.

This study seeks to quantitatively answer whether corporate political leanings (CPL) influence subsequent year-over-year changes in carbon emission intensity (CEI), and whether corporate greenwashing mediates this relationship (Lyon & Maxwell, 2008; Delmas & Burbano, 2011).

The following literature review grounds this study within existing work on corporate environmental performance, political psychology, and greenwashing, highlighting the key gaps the analysis seeks to address.

2 Literature Review

American corporations face an impossible balancing act between climate-conscious investors and carbon-dependent profitability. With 52% of Americans prioritising global warming (Kennedy & Johnson, 2020), companies must satisfy ESG demands while navigating dramatic policy swings between election cycles (Tee et al., 2024; Wholf & Quinn, 2025). Firms have developed sophisticated behavioural strategies beyond compliance or resistance—signalling sustainability to attract green investors, qualify for subsidies, and enable environmental marketing (Clark & Crawford, 2011). Yet this signalling may mask a critical mechanism: strategic political donations that exploit regulatory gaps rather than drive genuine emission reductions.

Political manipulation remains the key challenge in environmental compliance. While government regulation most consistently drives corporate environmental behaviour (Safiullah & Kabir, 2024), U.S. climate politics’ polarisation creates uneven enforcement across geopolitical contexts (Tee et al., 2024). Republicans overwhelmingly oppose environmental legislation while Democrats support stronger climate governance (Wholf & Quinn, 2025). This asymmetry enables corporate strategy: politically connected firms face lower government fines and avoid punitive scrutiny (Heitz et al., 2021), while paradoxically, pure environmental

performers increase political spending toward anti-climate parties (Cho et al., 2006; Muttakin et al., 2020).

Neo-pluralist theory (NPT) and signalling theory explain how corporations use political donations to manage environmental pressures while avoiding substantive change. NPT posits that corporations deploy superior financial resources to secure future profitability through two mechanisms: donating to Democrats for performative compliance that generates positive headlines without structural changes (Murray, 2020; Clark & Crawford, 2011), or supporting anti-environmental candidates for deregulation prospects in carbon-intensive industries (Wholf & Quinn, 2025; Fich et al., 2022). Each dollar donated to environmentally unfriendly parties increases the investors’ market value by more than \$900 when the bills opposed by the League of Conservation Voters (a Environmental advocacy group) pass (Fich et al., 2022), with regulatory relaxation correlating with increased emissions (Heitz et al., 2021).

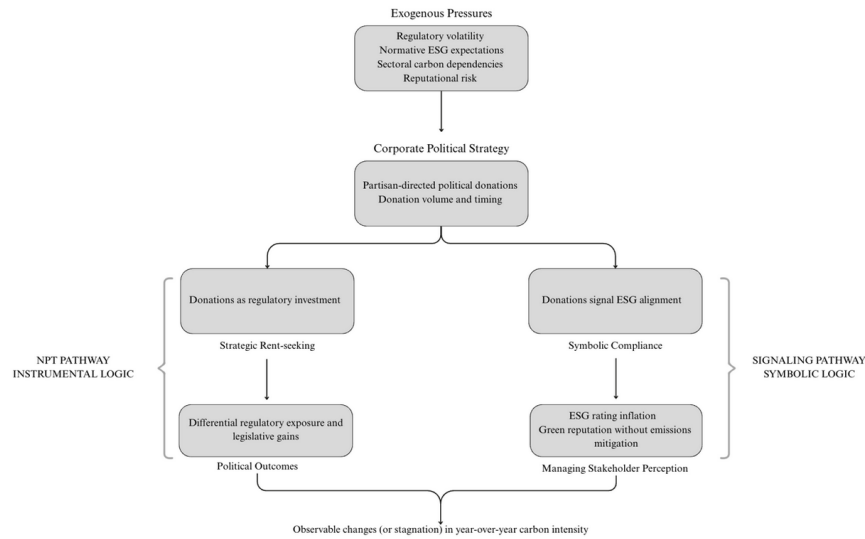


Figure 1: Visualisation of Theoretical Framework

Political donations themselves become signalling tools—stakeholders interpret them as environmental commitment despite minimal emission reductions (Murray, 2020; Gounopoulos et al., 2021), paralleling “greenwashing” where poor performers strategically signal positive performance (De Freitas Netto et al., 2020; Benabou & Tirole, 2010; Montgomery et al., 2023). Every \$100,000 donation increase is associated with a 0.12-unit ESG rating increase (Carè et al., 2025), while regulators monitor firms supporting environmentally friendly parties less frequently, allowing profit maximisation despite intensive carbon outputs (Lyon & Maxwell, 2008). This creates counter-intuitive behaviours: democratically aligned firms donate to Republicans to hedge political risk (Goswami et al., 2025), while carbon-intensive firms support Democrats to mitigate backlash (Cho et al., 2006), with political connection costs often exceeding actual green investments (Tee et al., 2024).

3 Research Gap

Despite extensive literature, current research suffers three major limitations. First, studies examine donation volumes rather than partisan direction, neglecting varying amounts between parties (OpenSecrets, 2024).

Second, political influence operates on electoral cycles while emissions are time-lagged.

Third, donation-emission relationships vary by industry, yet studies aggregate across sectors.

Our study addresses these gaps by examining whether partisan donation direction—not just volume—predicts actual emission changes and how greenwashing mediates this relationship. This contribution reveals whether political donations indicate genuine environmental commitment or sophisticated avoidance mechanisms, providing policymakers with evidence to design manipulation-resistant regulations and offering investors tools to distinguish authentic progress from strategic signalling.

Therefore, we ask:

RQ₁: Do corporate political donation leanings (partisan direction, not just volume) affect year-over-year carbon intensity changes?

RQ₂: If so, does greenwashing mediate this relationship, allowing firms to maintain political flexibility while avoiding emission reductions?

4 Methods

This study examines whether CPL influences subsequent percentages of changes in carbon emission intensity. We analyse 37 firms over three electoral cycles (2017–2023), leveraging within-firm variation in political donations and environmental outcomes. Data was collected from Bloomberg (carbon intensity and operational data) and OpenSecrets (political donations by company, year, candidate, and amount).

Corporate Political Leanings (CPL)

We proxy CPL using the ratio of political donations to Republican versus Democratic candidates:

$$CPL = \frac{\text{Donations to Democratic Party/Members} - \text{Donation to Republican Party/Members}}{\text{Total Political Donations}} \quad (1)$$

This measure ranges from -1 (exclusively Republican) to +1 (exclusively Democratic) and is calculated for three periods: January 2017 to December 2018, January 2019 to December 2020, and January 2021 to December 2022.

Environmental Performance (% Δ Carbon Intensity)

We measure environmental performance through percentage changes in carbon intensity (annual carbon emissions normalised by total revenue) from December 2018 to December 2019, December 2020 to December 2021, and December 2022 to December 2023. Positive values indicate worse environmental performance, while negative values represent improved environmental performance.

Empirical Strategy

We employ firm and year fixed effects panel regression to address unobserved heterogeneity and time-varying shocks (Baltagi, 2021; Hausman, 1978).

$$\begin{aligned}\% \Delta \text{Carbon Intensity}_{i,t+1} = & \beta_0 + \beta_1 \text{CPL}_{i,t} + \beta_2 \text{ROA}_{i,t} \\ & + \beta_3 \text{DebtAsset}_{i,t} + \beta_4 \text{IndDir}_{i,t} \\ & + \beta_5 \text{MTB}_{i,t} + \alpha_i + \gamma_t + \varepsilon_{i,t}\end{aligned}\tag{2}$$

Our identification of the causal effect relies on the assumption that, conditional on controls and fixed effects, changes in political donations are not simultaneously determined with future carbon intensity changes. We conduct several robustness checks, including exclusion of COVID period data, analysis using only balanced panel observations, and variations in control variable specifications.

The estimated firm-level standard deviation ($\sigma_u = 0.404$) and intraclass correlation ($\rho = 0.52$) indicate that over half of the variation in future carbon intensity changes stems from persistent, unobserved firm-level differences, justifying the use of fixed effects to mitigate omitted variable bias. Robustness tests and technical assumptions are detailed in Appendix B.

Control Variables

Our control variable selection follows established literature while addressing industry-specific considerations. We control for profitability using Return-on-Assets (ROA) as it affects both political donations and environmental investments: profitable firms have more resources for lobbying and clean technology adoption (Hill et al., 2013; Clarkson et al., 2008). Capital structure, measured by the Debt-to-Asset Ratio (D/A), is included as firms with access to more debt benefit from more funds to invest in carbon reduction or political donation, while high leverage ratios are often associated with higher carbon emissions (Andreoni & Galmarini, 2012).

We further control for the percentage of independent directors, as firms with higher board independence and environmental committees demonstrate enhanced carbon emissions performance (Elsayih, Datt, & Tang, 2021). Finally, growth opportunities—proxied by the Market-to-Book Ratio (MTB)—are controlled for, as firms with higher growth opportunities face lower borrowing costs (Chen & Zhao, 2006), providing financial flexibility for both political and environmental activities that is later manifested in lower carbon emissions (Bolton et al., 2022).

5 Results

Descriptive Statistics

Table 1 presents summary statistics for our sample of 37 firms across 105 firm-year observations. The mean percentage change in carbon intensity is 5% with substantial variation (SD = 39%). Corporate political leanings average at -0.30, indicating a slight Republican bias in our sample.

Variable	Mean	Std. Dev.	Min	Max	N
% Δ Carbon Intensity	0.05	0.39	-0.76	1.64	110
CPL (Corporate Political Leaning)	-0.30	0.54	-1.00	1.00	110
ROA (%)	5.19	10.52	-25.10	71.94	110
Debt-to-Asset Ratio (%)	37.31	13.10	12.14	80.27	110
Board Independence (%)	86.48	6.88	60.00	100.00	109
Market-to-Book Ratio	3.99	5.12	0.12	37.73	106

Table 1: Descriptive Statistics of Key Variables

Political Leaning and Carbon Intensity Changes

Table 2 presents the main regression results. Column (1) addresses RQ₁—i.e., whether corporate political donation leaning (CPL) affects year-over-year carbon intensity changes. Columns (2) and (3) explore heterogeneous effects by sector and state, respectively.

The coefficient on CPL in our baseline specification (Column 1) is -0.272 (SE = 0.195), indicating that a one-unit increase in Democratic leaning is associated with a 27.2 percentage point decrease in carbon intensity change. However, this relationship is not statistically significant at conventional levels ($p > 0.10$). The 95% confidence interval $[-0.656, 0.112]$ includes zero; therefore, we cannot reject the null hypothesis that there is no relationship between CPL and carbon intensity changes.

Column (2) examines whether the relationship differs between the chemical and oil sectors through an interaction term (CPL $\times$ Oil). The interaction coefficient of -0.004 (SE = 0.382, $p = 0.991$) is economically negligible and statistically insignificant, indicating no meaningful sectoral differences in how political leanings relate to environmental outcomes.

Column (3) investigates state-level heterogeneity, focusing on Texas-based firms given the state’s Republican orientation and our sample concentration. The interaction term (CPL $\times$ Texas) yields a coefficient of 0.485 (SE = 0.330, $p = 0.150$). While this suggests that the effect of political leaning on carbon intensity in Texas ($0.069 = -0.416 + 0.485$) differs from other states, the interaction remains statistically insignificant. Notably, the main effect of CPL becomes significant in this specification ($\beta = -0.416$, $p < 0.05$), suggesting that firms outside Texas show a stronger relationship between Democratic leaning and emission reductions—where a one-unit increase in Democratic leaning from the current and past year leads to a 41.6 percentage point decrease in the following year’s carbon intensity change.

As outlined in our empirical strategy, we conducted several robustness checks. Excluding the COVID period (2020) yields a CPL coefficient of -0.160 ($p > 0.10$), while restricting analysis

to a balanced panel produces a coefficient of -0.117 ($p > 0.10$). Both remain statistically insignificant, confirming our main findings.

	(1) Baseline	(2) Sector Heterogeneity	(3) State Heterogeneity
Main Variables			
CPL- $\{t\}$	-0.272 (0.195)	-0.269 (0.220)	-0.416** (0.196)
CPL $\times$ Oil Sector		-0.004 (0.382)	
CPL $\times$ Texas			0.485 (0.330)
Control Variables			
ROA	-0.013*** (0.005)	-0.013*** (0.005)	-0.010** (0.004)
Debt-to-Asset Ratio	-0.013 (0.010)	-0.013 (0.009)	-0.011 (0.010)
Board Independence	-0.005 (0.015)	-0.005 (0.014)	-0.010 (0.015)
Market-to-Book Ratio	-0.020** (0.008)	-0.020** (0.008)	-0.014*** (0.004)
Time Effects			
Period 2 (2020–2021)	0.171 (0.106)	0.171 (0.108)	0.173 (0.108)
Period 3 (2022–2023)	0.061 (0.097)	0.061 (0.097)	0.030 (0.093)
Constant	0.935 (1.321)	0.934 (1.338)	1.324 (1.348)
Model Statistics			
Number of Firms	37	37	37
R-squared (within)	0.187	0.187	0.224

Table 2: Robustness Checks on CPL Effects
Dependent Variable: Percentage Change in Carbon Intensity ($\%\Delta$ Carbon Intensity)

Notes. Robust standard errors clustered at the firm level are shown in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$. Period 1 (2018–2019) serves as the reference period. Column 2 tests for differential effects between the oil/gas and chemical sectors. Column 3 tests for differential effects for Texas-based firms.

Mediation Analysis

Given the statistically non-significant main effect in our primary specification, we do not proceed with the mediation analysis proposed in RQ2, as testing mediation requires a significant direct effect to decompose (Baron & Kenny, 1986).

6 Discussion

Existing research establishes that corporate political donations influence future profitability and environmental outcomes (Claessens et al., 2008; Hill et al., 2013), yet ignores critical nuances including partisan donation direction, temporal lags between political influence and

emissions, and industry-specific heterogeneity. We address these gaps by developing a novel Corporate Political Leanings (CPL) measure ranging from -1 (exclusively Republican) to $+1$ (exclusively Democratic) and employing fixed effects panel regression on 37 oil/gas and chemical firms across three electoral cycles (2017–2023).

Despite economically meaningful effect sizes—a full shift from Republican to Democratic donations implies a 27.2 percentage point reduction in carbon intensity change—we find no statistically significant relationship in our primary specification ($\beta = -0.272$, $p > 0.10$). However, geographic heterogeneity analysis reveals that firms outside Texas show a significant negative relationship between Democratic leaning and carbon intensity changes ($\beta = -0.416$, $p < 0.05$), suggesting regional political contexts may fundamentally shape how corporate political engagement translates into environmental outcomes.

Political Donation and Carbon Intensity Change

Our null findings offer several critical insights that both challenge and refine existing theory. First, the non-significant main effect suggests that the relationship between political donations and environmental performance may be more complex than the direct mechanisms proposed by Neo-pluralist Theory (NPT). While NPT posits that corporations deploy financial resources to secure favourable regulatory outcomes (Muttakin et al., 2020), our results indicate that partisan donation direction alone may not predict environmental behaviour changes. This complexity stems from the multifaceted motivations driving corporate political donations—pragmatic, partisan, and socially symbolic goals (Clark & Wilson, 1961; Francia et al., 2003; McMenamin, 2013; Broockman & Malhotra, 2020; McMenamin & Power, 2023). When political contributions are made for pragmatic reasons within the ESG space, they may be used not to support actual compliance with climate regulations but rather to secure regulatory leniency or to resist stricter environmental standards (Muttakin et al., 2020; Heitz et al., 2021). In such cases, firms may appear politically active in the ESG discourse without making substantive reductions in carbon intensity. This disconnect can lead to a lack of observable correlation between donation behaviour and actual emission reduction efforts, especially when donations are intended to preserve the status quo rather than to support reform. Furthermore, firms may engage in sophisticated hedging strategies—simultaneously supporting both parties to maintain flexibility regardless of electoral outcomes (Goswami et al., 2025)—thereby obscuring any clear partisan-performance relationship.

Another possible explanation for the absence of a significant relationship is that firms can, and often do, pursue genuine carbon emission reductions without engaging in political donations. Empirical evidence suggests that firms refraining from political donations tend to demonstrate stronger environmental performance, possibly due to a more authentic commitment to ESG goals (Muttakin et al., 2020). This creates a scenario akin to Akerlof’s (1970) “market for lemons”: where firms that are genuinely “green” may not be able or willing to signal their quality credibly through political donations. Companies that allocate substantial resources to actual decarbonization efforts—such as investing in cleaner technology or operational transformation—may lack the financial or strategic capacity to also engage in costly political signalling. As a result, the market (or, in our case, the statistical relationship) becomes noisy, with high-quality (genuinely green) and low-quality (symbolically green) firms indistinguishable based on donation behaviour alone. Thus, the lack of observed correlation between political donations and carbon intensity reduction may stem not from an absence

of climate action, but rather from a misalignment between signalling (via donations) and substantive outcomes (emissions reduction).

Additionally, our finding of no sectoral differences between oil and chemical industries (interaction coefficient = -0.004 , $p = 0.991$) challenges assumptions about industry-specific political strategies. Both sectors face similar environmental regulations and stakeholder pressures, potentially homogenising their political-environmental strategies. This aligns with signalling theory’s prediction that firms across carbon-intensive industries adopt similar performative strategies to manage reputational risks (Lyon & Maxwell, 2008).

Lastly, the significant geographic heterogeneity we uncover reconciles our findings with past literature and suggests that regional political contexts fundamentally shape donation-performance relationships. The stark difference between Texas-based firms and others indicates that state-level political culture and regulatory environments may moderate—or even overwhelm—the donation-performance relationship. In states with strong environmental movements and regulatory enforcement, Democratic donations may signal genuine commitment backed by substantive action. Conversely, in Republican-dominated states like Texas, where environmental regulations face consistent opposition (Wholf & Quinn, 2025), even Democratic-leaning donations may represent mere hedging without accompanying emission reductions.

Limitations and Future Directions

Several methodological limitations may also influence our findings and their divergence from past literature.

First, our temporal structure using one-year lags may inadequately capture the relationship between political influence and environmental outcomes. While we follow established practice (Hill et al., 2013), political efforts often target long-term regulatory frameworks whose environmental effects may not manifest for several years.

Second, data limitations significantly constrain our statistical power. With only 37 companies observed over 3 periods (105 observations), we fall well below econometric best practices recommending at least 50 groups and 5 time periods for two-way fixed effects models (Baltagi, 2021). Our power calculations indicate that we can only reliably detect main effects of 0.37 or larger, while our observed effect (-0.27) falls below this minimum detectable effect (MDE). Achieving 80% power would require approximately 73 additional companies, which may explain why economically meaningful effects remain statistically insignificant.

Third, measurement challenges in our dependent variable introduce additional uncertainty. Carbon intensity data relies on corporate self-reporting, creating vulnerability to greenwashing and measurement manipulation (De Freitas Netto et al., 2020). Moreover, normalising emissions by revenue introduces volatility, particularly for oil sector firms experiencing significant price fluctuations. For instance, Exxon Mobil’s revenues varied from \$178 to \$398 billion during our study period, potentially biasing our measurement of environmental effort.

Implications

Despite null aggregate findings, our research carries important implications for policy and practice.

For policymakers, the geographic heterogeneity we document suggests that federal environmental policies may elicit dramatically different corporate responses across states. In politically aligned states, corporate political engagement may effectively signal environmental commitment, while in opposition states, the same donations may represent mere political hedging. This implies that effective climate policy must account for state-level political contexts and may require differentiated approaches rather than uniform federal mandates.

For investors and stakeholders evaluating corporate environmental commitments, our findings caution against interpreting political donations as reliable signals of environmental performance. The disconnect between donation patterns and emission outcomes—particularly in certain geographic contexts—suggests that ESG assessment frameworks should look beyond political activities to substantive operational changes. The potential for sophisticated greenwashing through political signalling, as suggested by our theoretical framework, requires more nuanced evaluation metrics.

For corporate strategists, our results highlight the limited effectiveness of political donations as tools for environmental reputation management. The null relationship suggests that stakeholders may increasingly see through performative political gestures, demanding genuine emission reductions rather than partisan signalling. This aligns with growing evidence that authentic environmental commitment, rather than political manoeuvring, drives long-term value creation (Carè et al., 2025).

7 Conclusion

This study analysed 37 firms across the oil, gas, and chemical sectors from 2017-2023, finding no statistically significant relationship between CPL and subsequent carbon emission intensity changes in our primary specification. However, the most notable finding reveals significant geographic heterogeneity: firms outside Texas demonstrate a statistically significant negative relationship between Democratic donations and carbon intensity changes, while this effect appears offset by Texas-based firms comprising 35% of our sample. While methodological limitations, such as small sample size constrain our statistical power, this research contributes the first analysis of political donation direction and environmental performance relationships. The substantial economic magnitudes observed, combined with geographic variation, suggest that meaningful relationships likely exist but require larger samples and longer observation periods to detect reliably.

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